EQUITY RESEARCH / FINANCIAL INSTITUTIONS

Grupo Financiero BG

Panama | Banking & Asset Management

Prepared by: Ameth Espinosa — Financial Analyst Jr.

Date: April 22, 2026

Classification: Confidential

01 / INVESTMENT THESIS

Why GFBG is a compelling investment

1. A bank transforming into an asset manager

AUM grew +37% over two years and is approaching the total size of the bank's balance sheet. This structural shift unlocks higher-margin, capital-light revenue — a profile typical of top-tier wealth management firms, not traditional banks.

2. Best-in-class profitability — sustained, not cyclical

GFBG has delivered ROE above 20% for three consecutive years with a cost-to-income ratio of 28.1% — among the lowest in the region. This is not a one-time result. It reflects disciplined capital allocation and operating leverage built over time.

3. Strong capital position with room to deploy

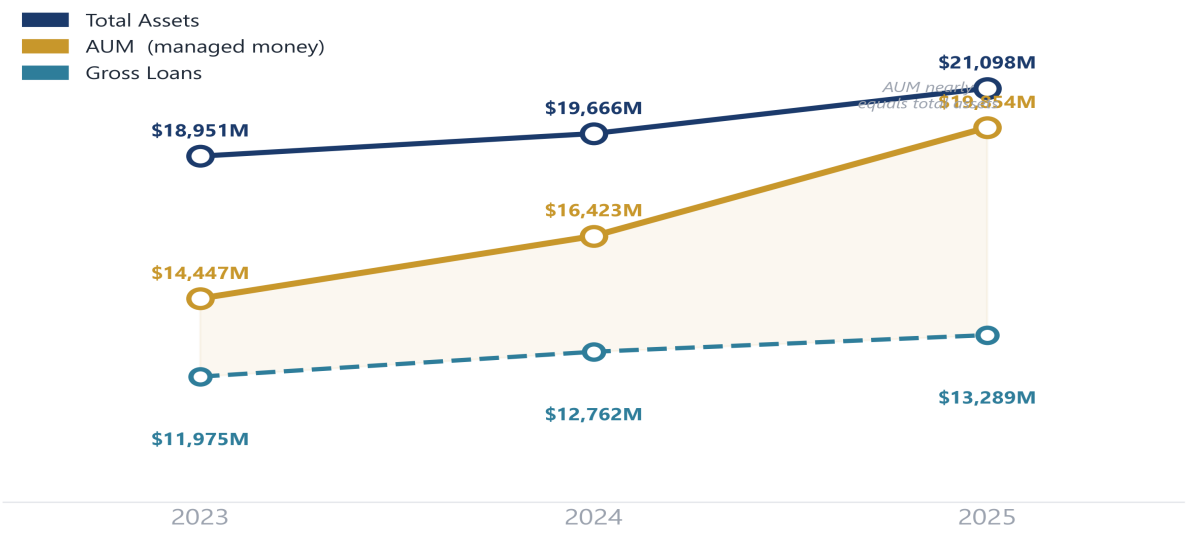
A capital ratio of 27.2% — well above regulatory minimums — gives GFBG significant flexibility to grow organically or pursue strategic acquisitions without diluting shareholders.

02 / KEY CHARTS

The story in four charts

Managed money (AUM) is catching up to the bank's total size

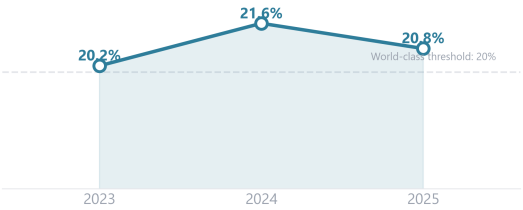
AUM grew 3x faster than loans — the business model is shifting toward asset management



AUM is growing 3x faster than loans. By 2025, managed assets nearly equal the bank's entire balance sheet.

The bank earns over 20% return for its shareholders — every year

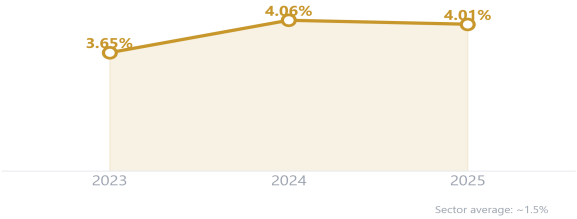
ROE above 20% is considered excellent. Most banks average 10-12%.



ROE held above 20% — three years in a row.

For every 100 in assets, the bank generates 4 in profit

ROA above 1.5% is exceptional. This bank earns nearly 3x the sector average.



ROA nearly 3x the sector average, consistently.

Managed assets are growing very fast

AUM grew +37% in two years — this is the bank's fastest-growing segment

AUM compound growth of +20.9% year-over-year — the fastest-growing segment in the business.

03 / KEY INSIGHTS

What the numbers tell us

AUM dominance

Managed assets reached $19.9B in 2025 — 94% of total balance sheet. GFBG is functionally converging with an asset manager.

ROE above 20% — three years straight

Sustained profitability at this level is rare globally. It signals structural advantage, not a cyclical event.

Loan-to-Deposit ratio declining

Down from 95% to 91%. The bank is becoming less reliant on credit and more focused on fee-based income — lower risk, more scalable.

Capital ratio of 27.2%

Well above Basel III minimums. Strong buffer against credit losses and capacity to fund future growth without dilution.

04 / RISK FACTORS

What to watch

NPL coverage declining (152.6% → 124.3%)

Not critical at current levels, but the trend warrants monitoring. A sustained drop below 100% would signal asset quality deterioration.

AUM growth sustainability

A +20.9% YoY AUM growth rate is exceptional — and hard to maintain. Slowing AUM growth would compress fee revenue and re-rate the stock.

Panama macro concentration

The business is geographically concentrated. Any Panama-specific shock — fiscal, regulatory, or political — flows directly into results.

05 / CONCLUSION

OUTPERFORM

GFBG is a rare combination: a highly profitable bank actively transitioning into an asset management platform. With ROE above 20%, AUM growing at nearly 21% per year, and a capital ratio that provides ample runway — the risk/reward profile favors long-term investors with a 2-3

year horizon.

Ameth Espinosa — Financial Analyst Jr.
Grupo Financiero BG Equity Research | April 22, 2026